

Business Functions and Performance Measures

Chapter 1, 4 (Baltzan)

LEARNING OUTCOMES

1. Relate the strategic competitive with core competence and business functions
2. Define metrics and describe the relationship between efficiency and effectiveness metrics
3. Explain why a business would use metrics to measure the success of strategic initiatives

The Value Chain and Strategic IS

- View the firm as a chain of basic activities that add value to its products and services
 - Primary processes directly relate to *manufacturing* or *delivering* products
 - Support processes help support the day-to-day running of the firm and indirectly contribute to products or services
- Use the value chain to highlight where competitive strategies will add the most value

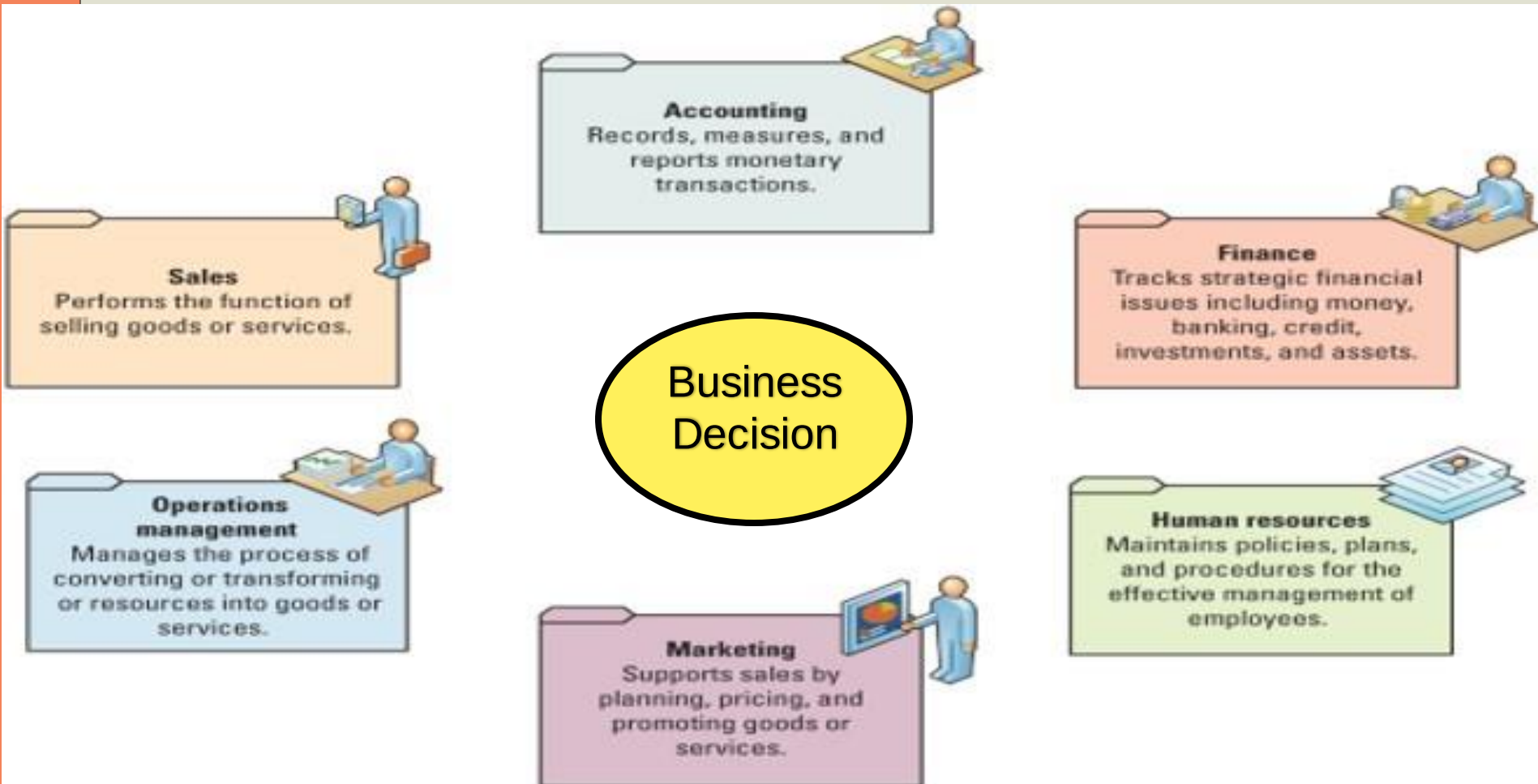
Porter's Value Chain and 5-Force Model

Porter's Value Chain Analysis Model

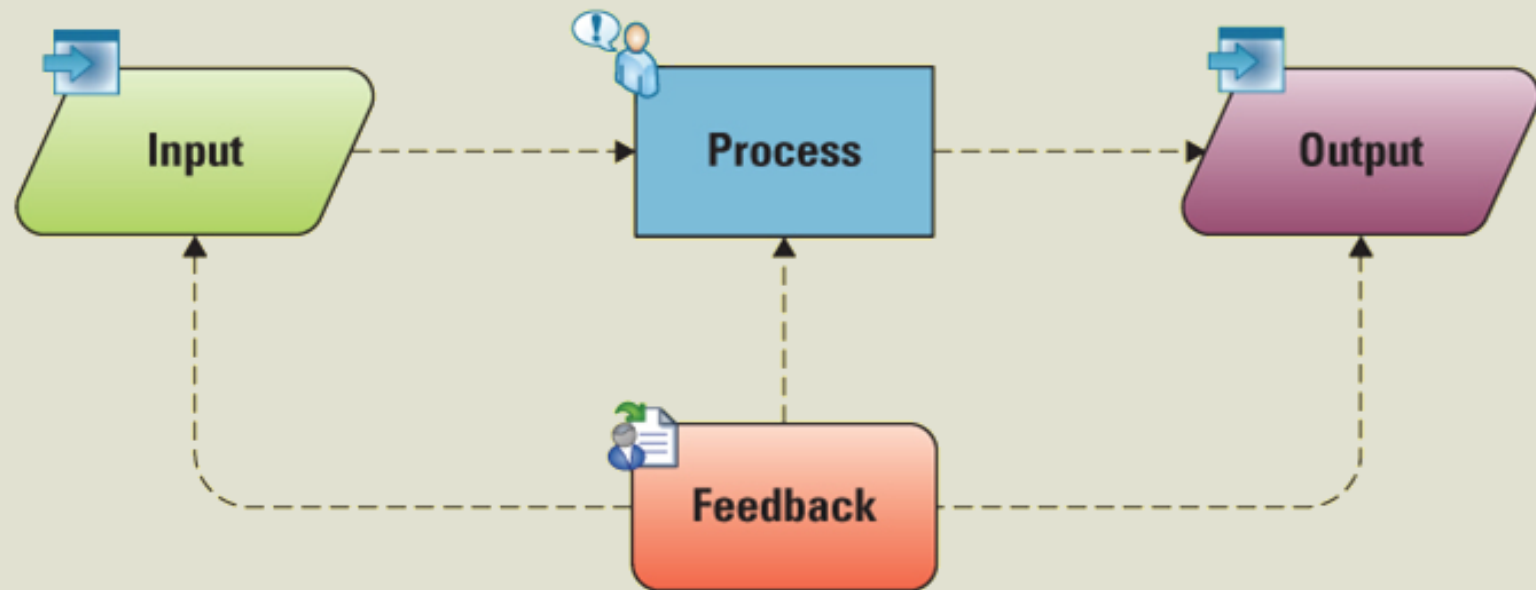


THE CHALLENGE: DEPARTMENTAL COMPANIES

Common Departments Working **Interdependently!**

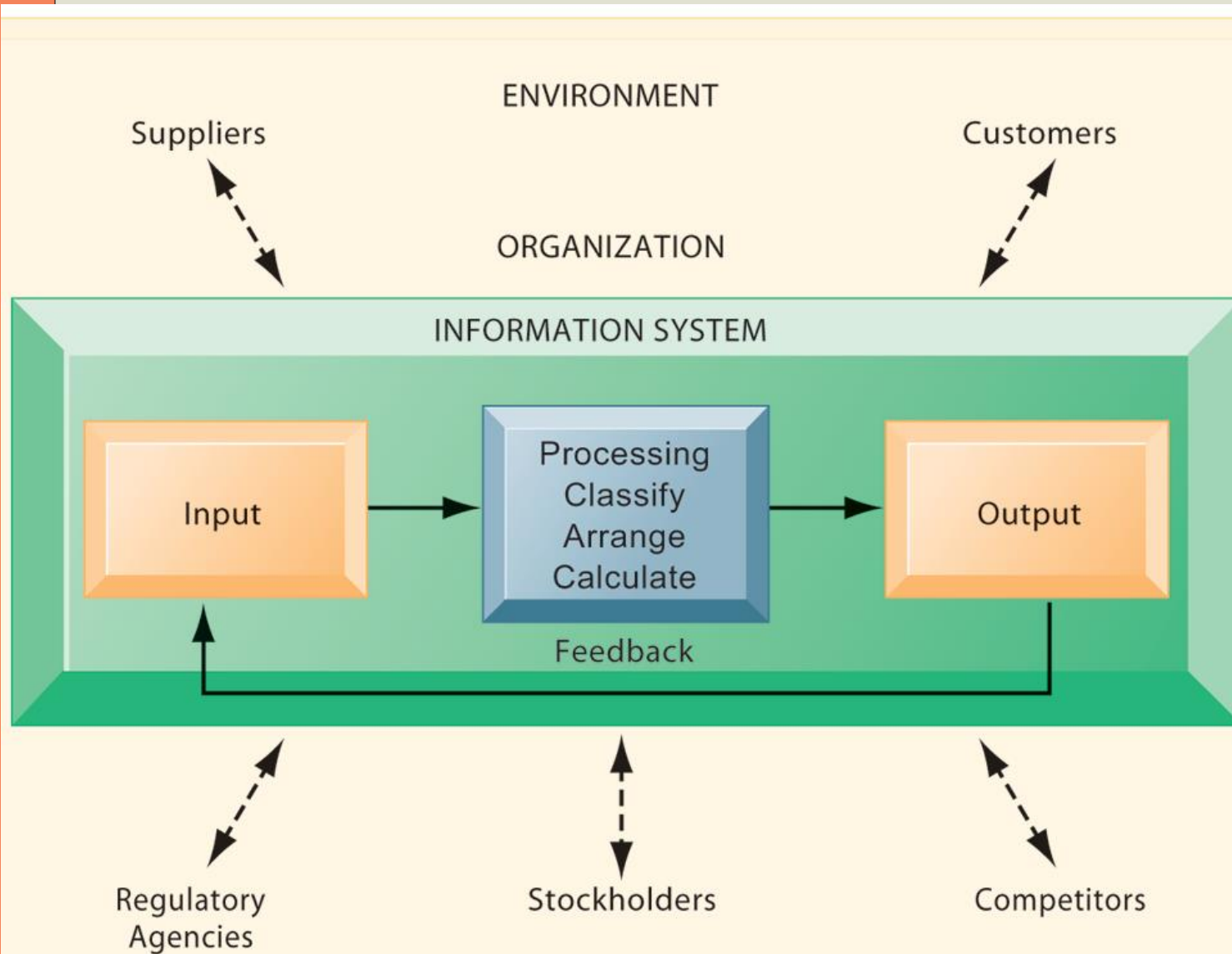


System thinking



- **Systems thinking** – A way of monitoring the entire system by viewing multiple inputs being processed or transformed to produce outputs (common purpose) while continuously gathering feedback on each part

Functions of Information System



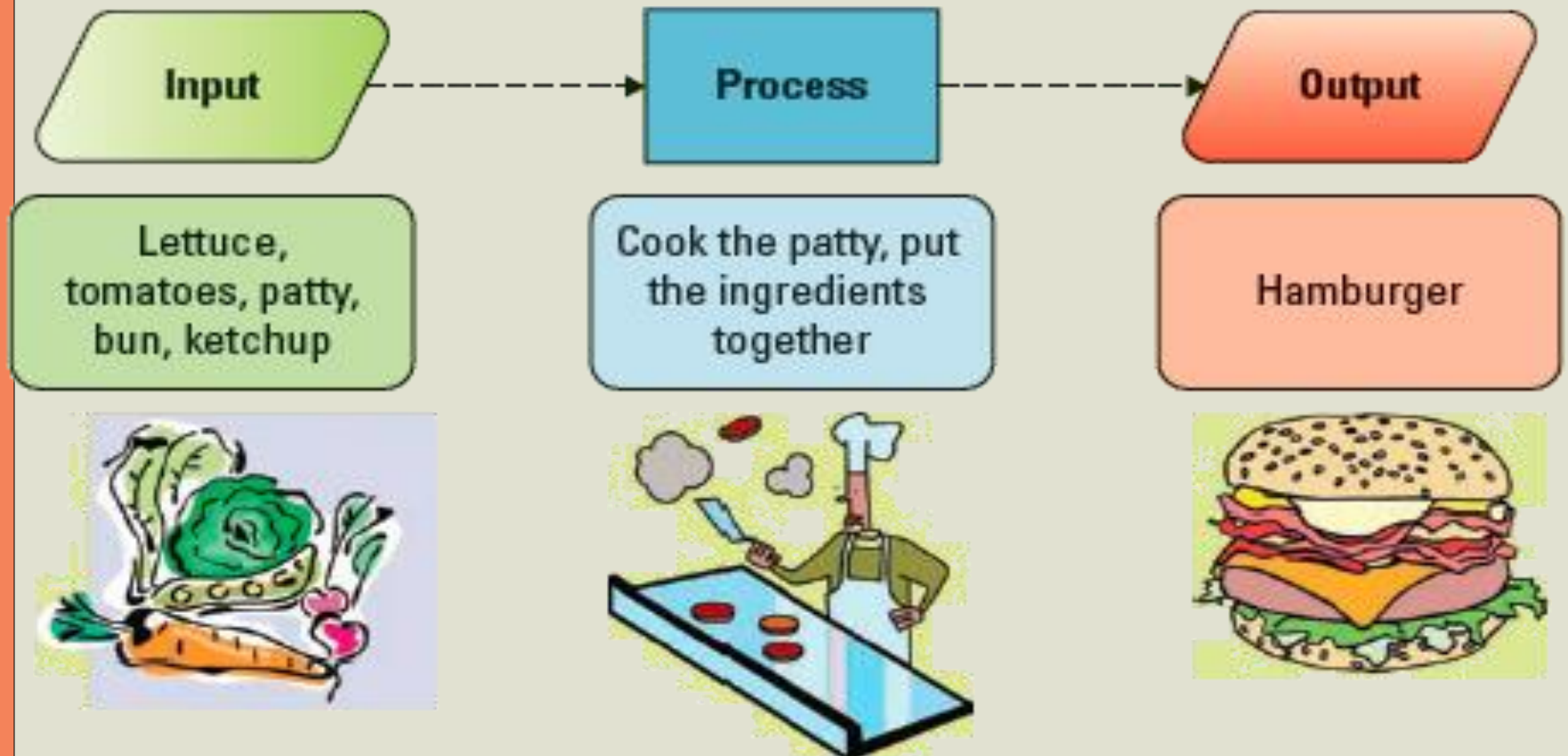
Feedback is info. about output returned to appropriate **people** or **activities** in the organization to evaluate and refine the input and process.

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THE SOLUTION: BUSINESS INFORMATION SYSTEMS

How to measure the performance of our system?



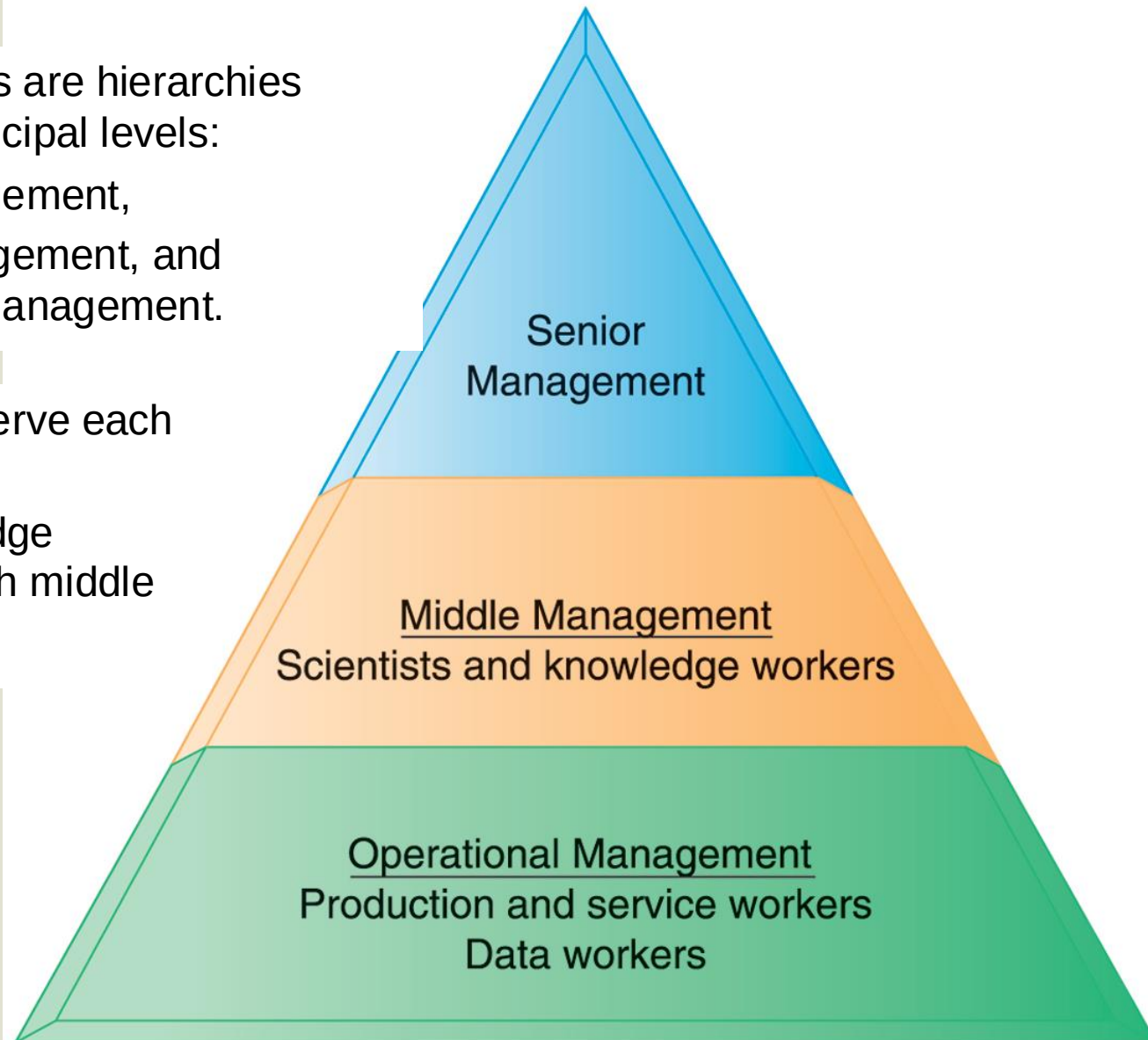
Organisation-- Levels in a Firm

Business organizations are hierarchies consisting of three principal levels:

senior management,
middle management, and
operational management.

Information systems serve each of these levels.

Scientists and knowledge workers often work with middle management.





Perspectives on Information Systems

- **Management dimension** of information systems
 - Managers set organizational strategy for responding to business challenges
 - In addition, managers must act creatively:
 - Creation of new products and services
 - Occasionally re-creating the organization

See how Steve Job organize Apple.

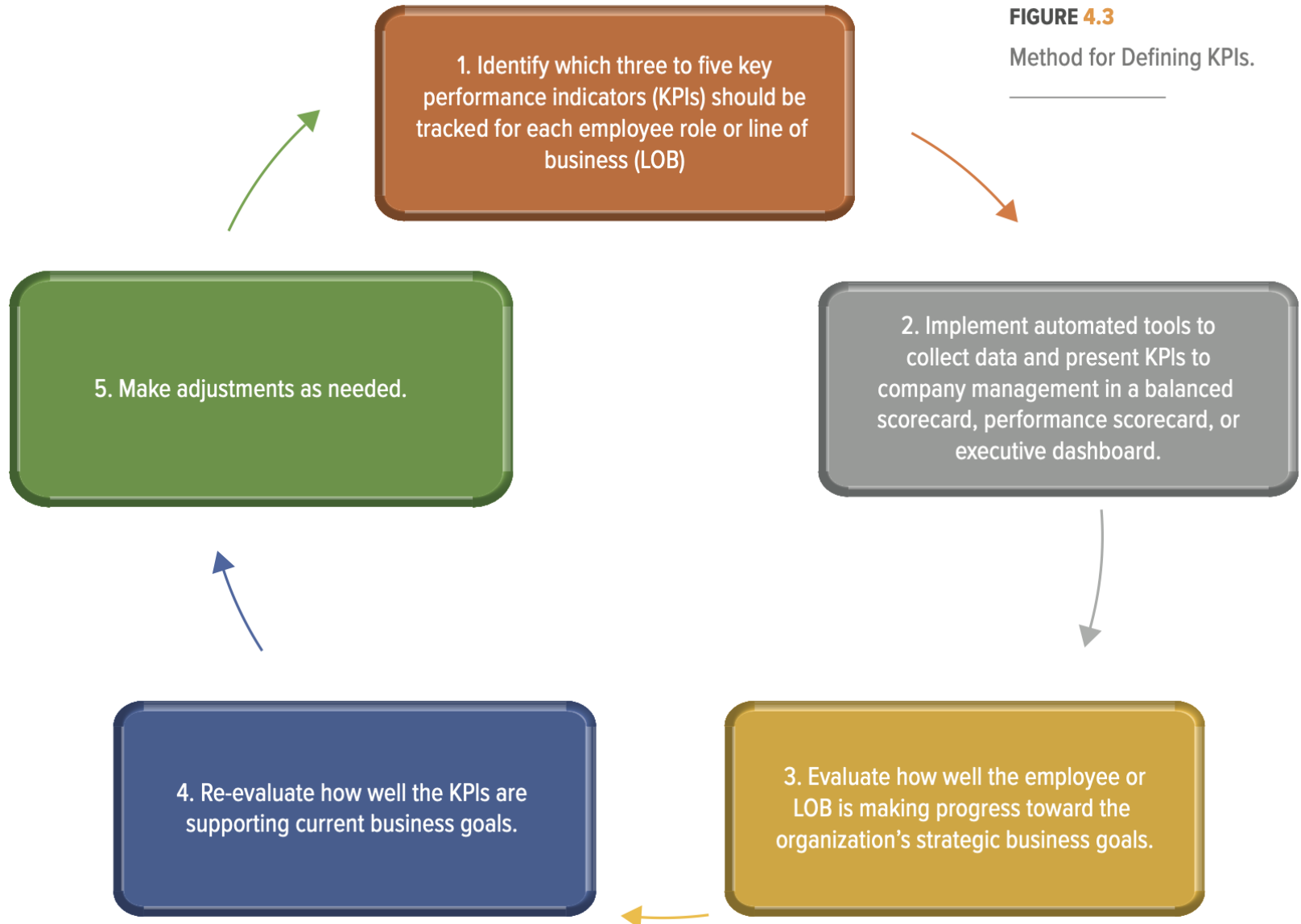
<https://www.youtube.com/watch?v=5hENFA3CJUY>



Business Performance Management: Cycle management by KPIs

FIGURE 4.3

Method for Defining KPIs.



METRICS: MEASURING SUCCESS

<http://www.kpilibrary.com>

Critical Success Factors

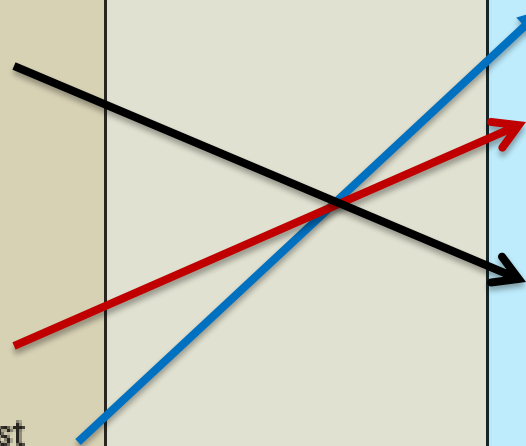
Crucial steps companies perform to achieve their goals and objectives and implement their strategies

- Create high-quality products
- Retain competitive advantages
- Reduce product costs
- Increase customer satisfaction
- Hire and retain the best business professionals

Key Performance Indicators

Quantifiable metrics a company uses to evaluate progress toward critical success factors

- Turnover rates of employees
- Percentage of help desk calls answered in the first minute
- Number of product returns
- Number of new customers
- Average customer spending



Efficiency and Effectiveness

Efficiency : *Do the thing right*

measures the performance of the system (**OUTPUT**):

Effectiveness : *Do the right thing*

measures the impact on business objectives (**OUTCOME**),

Efficiency Metrics

Throughput—The amount of information that can travel through a system at any point in time.

Transaction speed—The amount of time a system takes to perform a transaction.

System availability—The number of hours a system is available for users.

Information accuracy—The extent to which a system generates the correct results when executing the same transaction numerous times.

Response time—The time it takes to respond to user interactions such as a mouse click.

Effectiveness Metrics

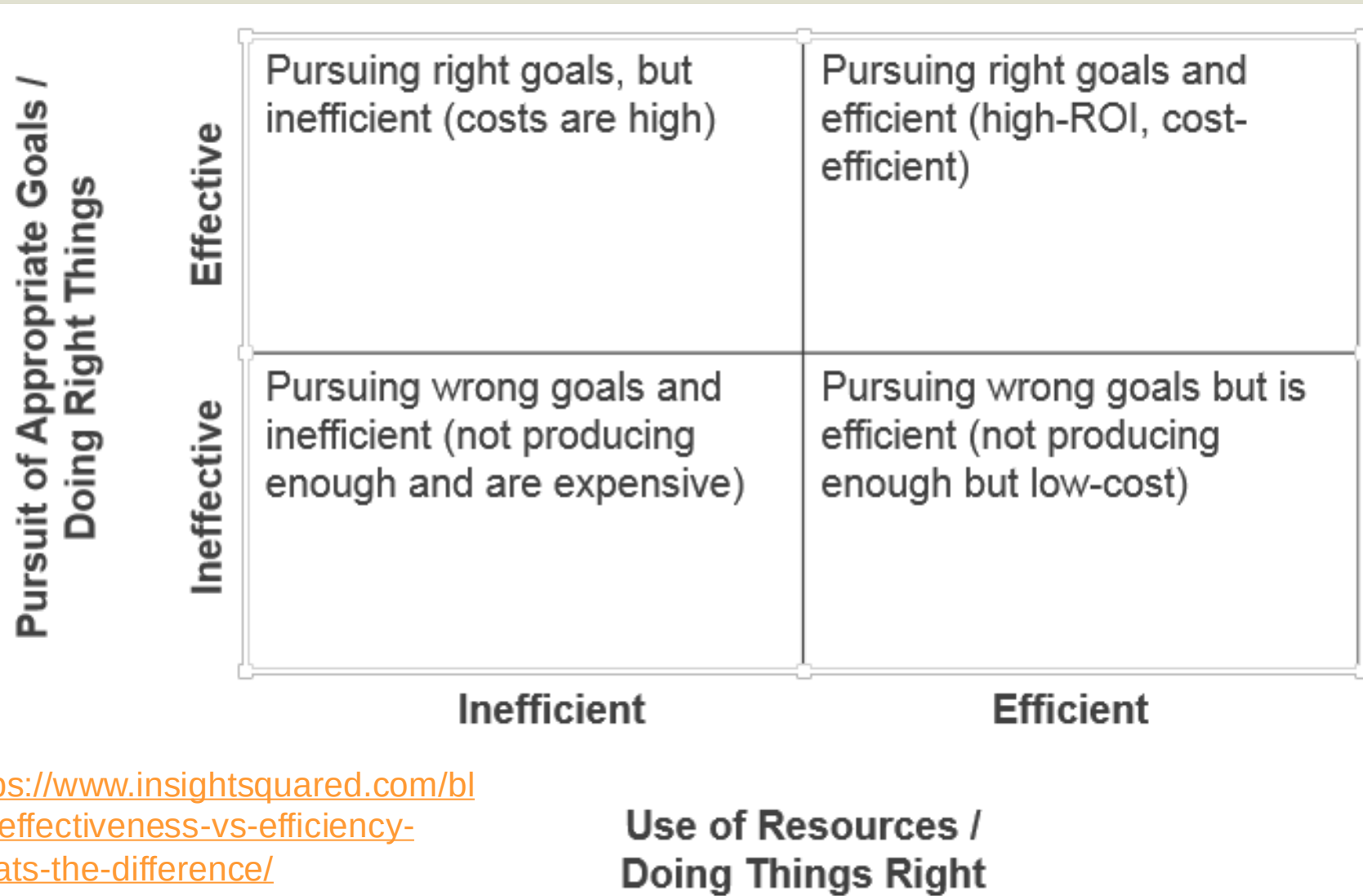
Usability—The ease with which people perform transactions and/or find information.

Customer satisfaction—Measured by satisfaction surveys, percentage of existing customers retained, and increases in revenue dollars per customer.

Conversion rates—The number of customers an organization “touches” for the first time and persuades to purchase its products or services. This is a popular metric for evaluating the effectiveness of banner, pop-up, and pop-under ads on the Internet.

Financial—Such as return on investment (the earning power of an organization’s assets), cost-benefit analysis (the comparison of projected revenues and costs including development, maintenance, fixed, and variable), and break-even analysis (the point at which constant revenues equal ongoing costs).

The Interrelation of Efficiency and Effectiveness MIS Metrics

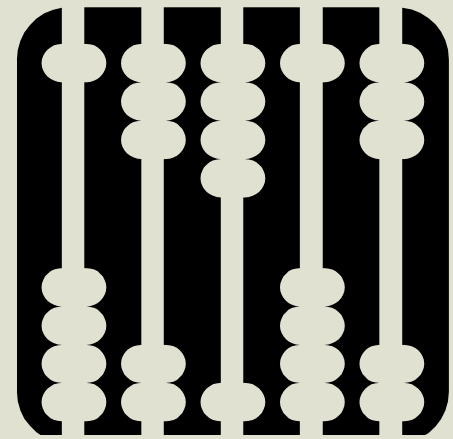


LEARNING OUTCOMES

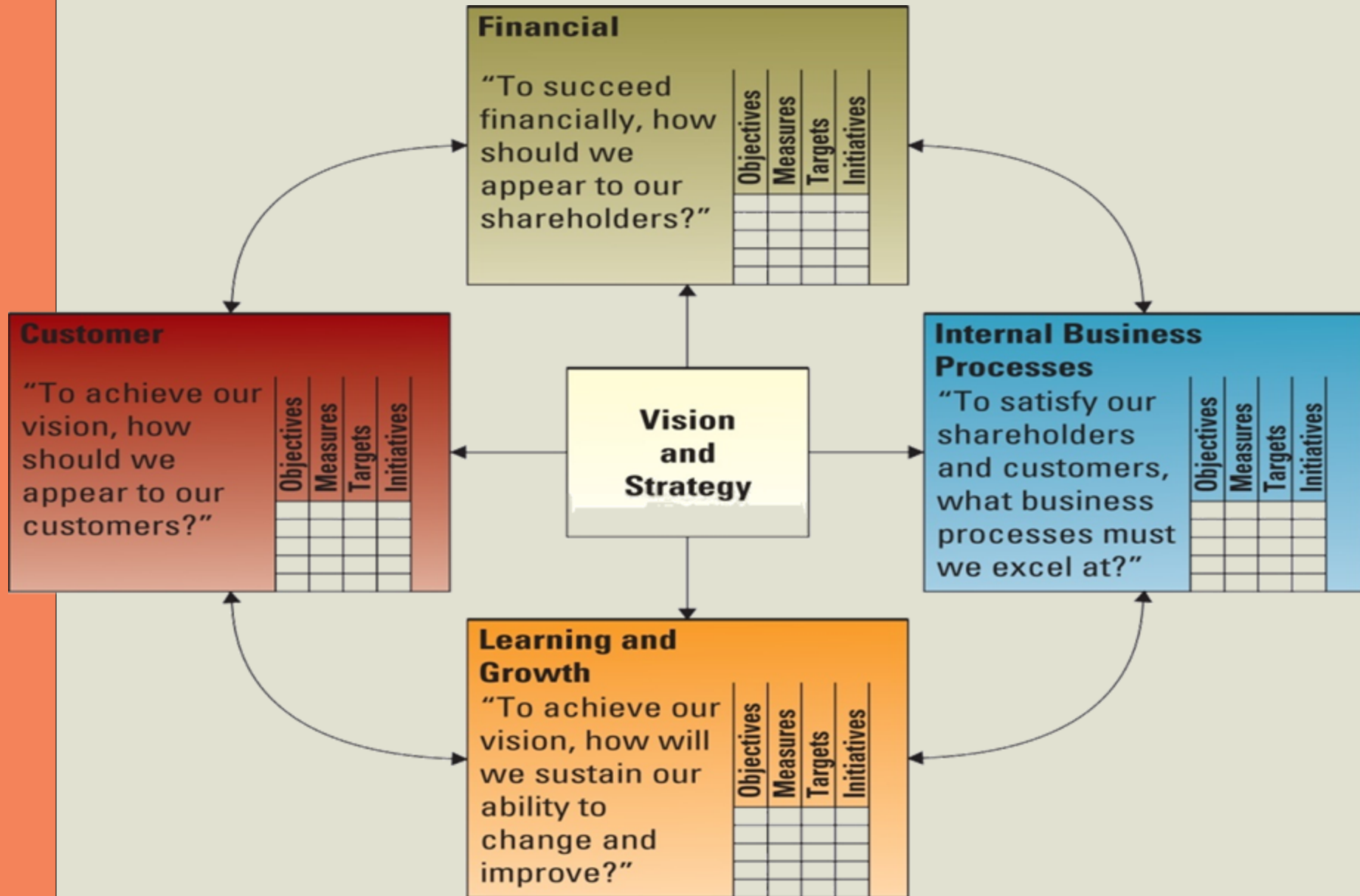
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MEASURING ENTERPRISE SUCCESS

- **Balanced scorecard** – Enables organizations to clarify their vision and strategy and translate them into action
- Balanced scorecard views the organization from four perspectives
 - Learning and growth
 - Internal business process
 - Customer
 - Financial



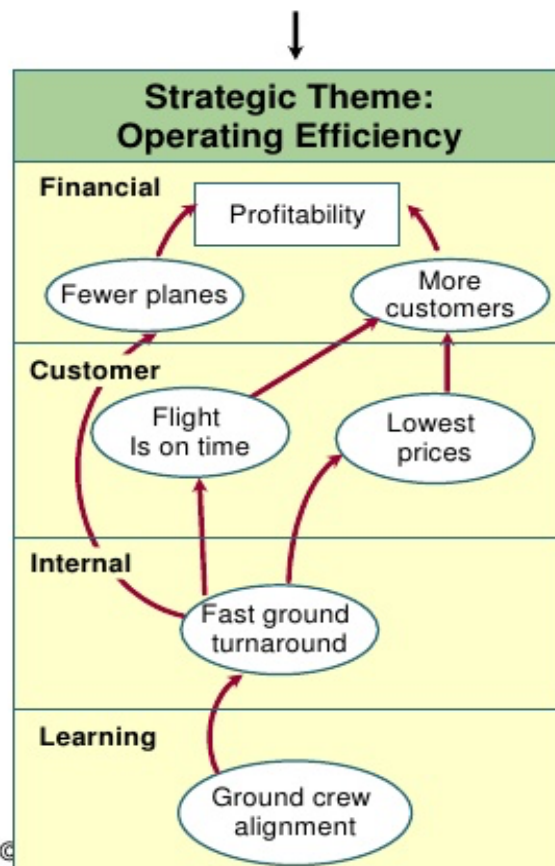
BSC as a Business Performance METRICS



Balanced Scorecard: Airline example

Strategy Map: Cause-and-effect between strategic objectives

https://en.wikipedia.org/wiki/Aircraft_ground_handling



Statement of the strategy

How success will be measured

Performance Needed

Key action programs

Objectives	Measurement	Target	Initiative
Fast ground turnaround	- On Ground Time - On-Time Departure	30 Minutes 90%	Cycle time optimization

Balanced Scorecard: Airline Example

Strategic Theme: Operating Efficiency	Objectives	Measurement	Target	Initiative
Financial <pre> graph TD GCA([Ground Crew Alignment]) --> FGTT([Fast Ground Turnaround]) FGTT --> FIO([Flight Is on Time]) FGTT --> LP([Lowest Prices]) FIO --> FP([Fewer Planes]) FIO --> MC([More Customers]) LP --> MC FP --> MC MC --> P[Profitability] </pre>	- Profitability - More Customers - Fewer planes	- Market Value - Seat Revenue - Plane Lease Cost	30% CAGR 20% CAGR 5% CAGR	
Customer <pre> graph TD FGTT([Fast Ground Turnaround]) --> FIO([Flight Is on Time]) FGTT --> LP([Lowest Prices]) FIO --> FP([Fewer Planes]) FIO --> MC([More Customers]) LP --> MC FP --> MC MC --> P[Profitability] </pre>	- Flight is on -time - Lowest prices	- FAA On Time Arrival Rating - Customer Ranking (Mail Survey)	#1 #1	- Quality management - Customer loyalty program
Internal <pre> graph TD GCA([Ground Crew Alignment]) --> FGTT([Fast Ground Turnaround]) FGTT --> FIO([Flight Is on Time]) FGTT --> LP([Lowest Prices]) FIO --> FP([Fewer Planes]) FIO --> MC([More Customers]) LP --> MC FP --> MC MC --> P[Profitability] </pre>	Fast ground turnaround	- On Ground Time - On-Time Departure	30 Minutes 90%	Cycle time optimization program
Learning <pre> graph TD GCA([Ground Crew Alignment]) --> FGTT([Fast Ground Turnaround]) FGTT --> FIO([Flight Is on Time]) FGTT --> LP([Lowest Prices]) FIO --> FP([Fewer Planes]) FIO --> MC([More Customers]) LP --> MC FP --> MC MC --> P[Profitability] </pre>	Ground crew alignment	% Ground crew trained % Ground crew stockholders	- yr. 1 70% - yr. 3 90% - yr. 5 100%	- ESOP - Ground crew training

Source: <http://image.slidesharecdn.com/orgalignmentstrategymapsbsc-100704001800-phpapp02/95/organizational-alignment-using-strategy-maps-and-balanced-scorecard-22-728.jpg?cb=1278202909>

Conclusion

- BIS –Using IT for enhancing values to business in a systematic way.
- We have learnt two main metrics: CSF and KPI.
- Effective and Efficient measures and interrelation
- BSC for Enterprise Performance Management system

Attachment

- Traditional functional organization versus a new paradigm in Apple Corp.

<https://www.youtube.com/watch?v=5hENFA3CJUY>

- Balanced ScoreCard with Strategy Map

<https://www.youtube.com/watch?v=3vjpZO-DP7g>